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STATE OF MICHIGAN
IN THE SUPREME COURT

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|---|---|
| STATE OF MICHIGAN, DEPARTMENT OF HEALTH AND HUMAN SERVICES, OFFICE OF INSPECTOR GENERAL | Supreme Court No. [#] |
| | Court of Appeals No. 364206 |
| Plaintiff–Appellant | Ingham Circuit Court No. 22–000441–CZ |
| v | |
| NRK RX, INC. AND RAAD KOUZA | |
| Defendants–Appellees | |

_____/

**PLAINTIFF MICHIGAN DEPARTMENT OF HEALTH AND HUMAN SERVICES, OFFICE OF INSPECTOR GENERAL'S APPLICATION FOR LEAVE TO APPEAL**

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Dated: December 23, 2024

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## STATEMENT OF JURISDICTION

Plaintiff Michigan Department of Health and Human Services, Office of Inspector General ("the State") seeks leave to appeal the Court of Appeals' November 20, 2024 opinion, upholding the trial court's order, which granted Defendants' motion to change venue to Oakland County. (Appellant's Appx, p 1.) The Court of Appeals' 2-to-1 opinion is consequential, not only in this case, but for the State's recovery of Medicaid overpayments and trial courts statewide.[1]

This Court has jurisdiction over the State's application for leave to appeal under MCL 600.215(3), conferring jurisdiction over any case brought before it for review, and through MCR 7.305(C)(2)(a), because the filing comes within 42 days of the Court of Appeals' published opinion.

[1] This appeal involves multiple causes of action by the Attorney General on behalf of the State, including:

- *State of Michigan v Sayed Saeed. et al.*, Docket No. 22–242–CZ;
- *State of Michigan v IRXPlus.com, Inc. et al.*, Docket No. 22–440–CZ;
- *State of Michigan v Rockwood Pharmacy, P.C. et al.*, Docket No. 22–439–CZ;
- *State of Michigan v Seaway Pharmacy, P.C. et al.*, Docket No. 22–442–CZ.

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## STATEMENT OF QUESTIONS PRESENTED

1. Do the Attorney General venue statutes control the venue determination in Medicaid conversion cases like this one and dictate that venue is proper in Ingham County?

   Appellant's answer: Yes.

   Appellees' answer: No.

   Trial court's answer: No.

   Court of Appeals' answer: No.

2. Do the tort venue provisions override the Attorney General venue statutes?

   Appellant's answer: No.

   Appellees' answer: Yes.

   Trial court's answer: Yes.

   Court of Appeals' answer: Yes.

3. In applying the tort venue provisions, is venue proper in Ingham County because that is where the original injury occurred?

   Appellant's answer: Yes.

   Appellees' answer: No.

   Trial court's answer: No.

   Court of Appeals' answer: No.

4. Should the Court have deferred to the Plaintiff's choice of venue, placing the burden on Defendants to establish inconvenience under MCR 2.222(A)?

   Appellant's answer: Yes.

   Appellees' answer: Did not answer.

   Trial court's answer: Did not answer.

   Court of Appeals' answer: Did not answer.

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## STATUTES AND COURT RULES INVOLVED

**MCL 14.102**

> Any action at law brought by the attorney general in the name of the state or of the people of the state, for the use and benefit thereof, may be begun in the circuit court in and for the county of Ingham, and may be prosecuted to final judgment and satisfaction thereof, with like effect as though the cause of action arose in such count. In any such case process issued out of and under the seal of said court may be served anywhere within the state of Michigan.

**MCL 400.111a(7)(d)**

> The department of community health shall have a priority lien on any assets of a provider for any overpayment, as a consequence of fraud or abuse, that is not reimbursed to the department of community health.

**MCL 400.111b(16)**

> A provider promptly shall notify the director of a payment received by the provider to which the provider is not entitled or that exceeds the amount to which the provider is entitled. If the provider makes or should have made notification under this subsection or receives notification of overpayment under section 111a(17), the provider shall repay, return, restore, or reimburse, either directly or through adjustment of payments, the overpayment in the manner required by the director. Failure to repay, return, restore, or reimburse the overpayment or a consistent pattern of failure to notify the director shall constitute a conversion of the money by the provider.

**MCL 400.111c(1)(c)(vi)**

> Upon the provider's failure to timely comply with the order, the director shall request the attorney general to petition a court of competent jurisdiction to enforce the order. Failure to appeal the final order within 30 days after receipt of a copy of the order shall foreclose the provider from collateral attack against the order or any underlying determination.

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**MCL 400.111c(1)(c)(vii)**

> If the foregoing means are not adequate to secure recovery of payments, the director shall do 1 or more of the following:
>
> > (C) Bring an action for other legal or equitable relief in a court of competent jurisdiction, including, but not limited to, an order to increase, for cause, the 25% withholding limit, an injunction to prevent the removal of attachable assets, an order to sequester assets, or an order for the appointment of a receiver to take possession of attachable assets.

**MCL 600.1621**

> Except for actions provided for in sections 1605, 1611, 1615, and 1629, venue is determined as follows:
>
> > (a) The county in which a defendant resides, has a place of business, or conducts business, or in which the registered office of a defendant corporation is located, is a proper county in which to commence and try an action.
> >
> > (b) If none of the defendants meet 1 or more of the criteria in subdivision (a), the county in which a plaintiff resides or has a place of business, or in which the registered office of a plaintiff corporation is located, is a proper county in which to commence and try an action.

**MCL 600.1627**

Except for actions founded on contract and actions provided for in sections 1605, 1611, 1615, and 1629, the county in which all or a part of the cause of action arose is a proper county in which to commence and try the action.

**MCL 600.1629**

> (1) Subject to subsection (2), in an action based on tort or another legal theory seeking damages for personal injury, property damage, or wrongful death, all of the following apply:
>
> > (a) The county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:

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(i) The defendant resides, has a place of business, or conducts business in that county.

(ii) The corporate registered office of a defendant is located in that county.

(b) If a county does not satisfy the criteria under subdivision (a), the county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:

(i) The plaintiff resides, has a place of business, or conducts business in that county.

(ii) The corporate registered office of a plaintiff is located in that county.

(c) If a county does not satisfy the criteria under subdivision (a) or (b), a county in which both of the following apply is a county in which to file and try the action:

(i) The plaintiff resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.

(ii) The defendant resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.

(d) If a county does not satisfy the criteria under subdivision (a), (b), or (c), a county that satisfies the criteria under section 1621 or 1627 is a county in which to file and try an action.

**MCL 600.1631**

The county in which the seat of state government is located is a proper county in which to commence and try the following actions:

(a) when the action is commenced by the attorney general in the name of the state or of the people of the state for the use and benefit thereof;

(b) when venue cannot be laid under any other of the venue provisions.

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**MCL 600.1641**

(1) Except as provided in subsection (2), if causes of action are joined, whether properly or not, venue is proper in any county in which either cause of action, if sued upon separately, could have been commenced and tried, subject to separation and change as provided by court rule.

(2) If more than 1 cause of action is pleaded in the complaint or added by amendment at any time during the action and 1 of the causes of action is based on tort or another legal theory seeking damages for personal injury, property damage, or wrongful death, venue shall be determined under the rules applicable to actions in tort as provided in section 1629.

**MCR 2.222(A)**

The court may order a change of venue of a civil action, or of an appeal from an order or decision of a state board, commission, or agency authorized to promulgate rules or regulations, for the convenience of the parties and witnesses or when an impartial trial cannot be had where the action is pending. In the case of appellate review of administrative proceedings, venue may also be changed for the convenience of the attorneys.

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## INTRODUCTION

Raad Kouza stole millions in Medicaid funds and has yet to repay any of it. After stealing the funds, he laundered it, placing millions in the names of family, friends, and shell companies. He has recently been convicted of federal healthcare fraud and is awaiting sentencing. The State initiated an action in Ingham County to recoup these Medicaid funds, which belong to the People of the State and that Kouza has unlawfully retained. But due to the Court of Appeals' incorrect decision, Kouza now gets to have the State's civil case transferred to the venue of his choice, further jeopardizing the State's recovery.

The primary question in this case is whether the trial court erred in transferring this case to Oakland County, when Ingham County was proper under both the Attorney General and tort venue provisions, and Kouza failed to establish or even argue that Oakland was more convenient.

This case should have never been transferred to Oakland because it is neither proper nor more convenient. More specifically, Ingham County is proper under the Attorney General venue statutes, which provide that the Attorney General may file suit on behalf of Michigan's executive departments in Ingham County, as it is the seat of Michigan's government. Ingham County is also proper under the tort venue provisions because it is the location of the original injury. More specifically, in a claim for conversion, the original injury occurs to the plaintiff *where the plaintiff* is located.

The lower courts disregarded binding case law, which holds that, for purposes of venue, the location of the "original injury" occurs where the harm to the plaintiff

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results, not where the defendant engages in wrongdoing. In disregarding this binding case law, the lower courts conflated the wrongdoing (withholding the overpaid Medicaid funds) with the resulting injury (losing possession of the overpaid Medicaid funds). The original injury here was in Ingham County where the State suffered the loss of possession of its funds and had to repay the federal share back to the U.S. Government.

This error may have been due to the ephemeral nature of this type of conversion: improper retention of intangible, undifferentiated electronic funds. Funds like these are becoming ever more common in society—as evidenced by the explosion of electronic transactions and cryptocurrency—and with that development brings grappling with new issues.

This Court's review is necessary because this legal uncertainty is playing out in the lower courts. There have been multiple motions to change venue, resulting in conflicting decisions within the same county circuit. See 30th Circuit Court cases *State of Michigan v Sayed Saeed, et al.* (No. 22–242–CZ); *State of Michigan v IRXPlus.com, Inc.* (No. 22–440–CZ); *State of Michigan v Rockwood Pharmacy, et al.* (No. 22–439–CZ); *State of Michigan v Seaway Pharmacy, et al.* (No. 22–442–CZ).

The legal issue in this case is of major significance to the State's jurisprudence. MCR 7.305(B)(3). And it involves a matter of significant public interest in a matter brought by the State. MCR 7.305(B)(2). An expeditious resolution to these important threshold legal questions would, going forward, make clear that the original injury occurs where the plaintiff is located.

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## STATEMENT OF FACTS AND PROCEEDINGS

**Medicaid providers are responsible for repaying overpayments.**

The Michigan Department of Health and Human Services administers Michigan's Medicaid program (Medicaid). In addition to federal law, Michigan's Medicaid act, the Social Welfare Act, MCL 400.1 *et seq*., and Medicaid policies and procedures establish the terms and conditions of a provider's participation in Medicaid. Moreover, upon enrolling in the program, a provider enters into a contract with the State, which further dictates the provider's terms and conditions. MCL 400.111b(4).

The State regularly reviews providers' claims to ensure proper payment and, if an overpayment is identified, the burden is on the provider to establish entitlement to the funds received. *Prechel v Dept of Social Services*, 186 Mich App 547, 549 (1990); MCL 400.111b(10). As a result, providers are required to promptly notify Medicaid when they receive an overpayment and failure to return an overpayment constitutes a conversion. MCL 400.111b(16).

**The Attorney General has authority to recover Medicaid overpayments by instituting civil actions.**

Because a Medicaid provider is contractually and statutorily obligated to submit claims that are consistent with state and federal laws and regulations, the State may "petition a court of competent jurisdiction to enforce [a Medicaid overpayment]." MCL 400.111c(1)(b); MCL 400.111c(1)(c)(vi). In bringing an action, the Attorney General has a breach of contract claim, as well as a claim for conversion due to the provider's failure to return the funds. MCL 400.111b(16).

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Once a judgment is entered, the State may collect against the provider, and it also has a priority lien on all the provider's assets for overpayments due to fraud or abuse. MCL 400.111a(7)(d).

**Defendants were overpaid.**

This case[2] involves a pharmacy, NRK RX, Inc., operating under the assumed name "Food Town Drugs," that billed Michigan Medicaid one-half million dollars for drugs which the pharmacy could not show it purchased from an authorized wholesaler. (Appellant's Appx, p 9.) After learning that the pharmacy shared common ownership with four other pharmacies that also could not substantiate their billing, the State reviewed Food Town's claims and found that Food Town was unable to show that it purchased enough medication for the amount that it had billed to Medicaid. (*Id.*, p 4.)

**Both administrative and judicial courts have upheld the overpayment.**

After an administrative hearing, an administrative law judge issues a proposal for decision. MCL 24.281(1). Under both the APA and Social Welfare Act, a provider must file exceptions to the proposal for decision within 10 days "from the date of mailing the decision." MCL 24.281(3); MCL 400.111c(1)(b). Failure to file

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[2] In total, the State has sued Kouza and his various pharmacies for over three million dollars in overpaid funds:

- Colosseum, Inc. et al. ("ER Drugs") (Docket No. 20–718–CZ);
- NRK Rx., Inc. et al. ("Food Town") (Docket No. 22–441–CZ);
- Rockwood Pharmacy P.C. ("Rockwood") (Docket No. 22–439–CZ);
- Seaway Pharmacy P.C. ("Seaway") (Docket No. 22–442–CZ); and
- IRXPlus.com, Inc. et al. ("St. Paul") (Docket No. 22–440–CZ).

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such exceptions constitutes a waiver of objections not raised. *Attorney General v Pub Serv Comm*, 136 Mich App 52, 56 (1984). As a result, the proposal for decision becomes the final decision. MCL 24.281(3).

Here, Defendants requested and were given an administrative hearing, which upheld the overpayment. Defendants did not file exceptions within 10 days of the mailing of the proposal for decision. Thus, they waived their objections to the administrative decision. MCL 24.281(3). (Appellant's Appx, p 12, ¶ 30.) Thereafter, Defendants sought judicial review of the decision, and both the circuit court and Michigan Court of Appeals upheld the administrative decision. (Docket No. 356651.)

In federal court, Kouza and his brother, Ramis, were convicted of healthcare fraud and conspiracy to commit healthcare fraud for the same overlapping time period. (*United States of America v Kouza et al*, the United States District Court for the Eastern District of Michigan, filed September 16, 2020, Docket No. 2:20–cr–20430–GAD–RSW).

**The lower court transferred the case to Oakland County.**

Following the final administrative decision, the State filed a civil action against Defendants in Ingham County, pleading a claim for enforcement of the agency decision, conversion, statutory conversion, breach of contract, and unjust enrichment. (Appellant's Appx, p 7.) In the State's civil case, Defendants moved to change venue, and the Ingham Circuit Court granted their motion, holding that the tort venue provisions applied to the statutory claim of conversion established under

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the Medicaid act. (Appellant's Appx, p 4.) In addition, the court concluded that the location of the State's original injury occurred in Oakland County. (*Id.*)

The Court of Appeals upheld the circuit court's decision, ruling that "the original injury occurred in Oakland County, the county in which NRK has its corporate office and where it refused to return the funds to DHHS." (*Dep't of Health and Human Servs v NRK Rx, Inc et al*, __ Mich App __, __ (2024) (majority opinion), slip op at 6). Justice Hood dissented:

> [The Attorney General venue statutes] exist in harmony with the [tort venue provisions], so that a party may properly establish venue under the AG venue statutes . . . *or* the tort venue statutes . . . . I would, therefore, remand to the Ingham County Circuit Court to determine whether it should transfer the case to the Oakland County Circuit Court in light of MCR 2.222(A). [*Id.* (Hood, J., dissenting), slip op at 1.]

## STANDARD OF REVIEW

Questions of statutory interpretation are reviewed de novo. *Reynolds v Robert Hasbany, MD PLLC*, 323 Mich App 426, 431 (2018). A motion to change venue is reviewed under the clearly erroneous standard. *Brightwell v Fifth Third Bank*, 487 Mich 151, 156 (2010). A decision is "clearly erroneous" if the reviewing court is left with a definite and firm conviction that a mistake has been made. *Shiroka v Farm Bureau Gen Ins Co*, 276 Mich App 98, 102 (2007).

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## ARGUMENT

### I. The Attorney General venue statutes control the venue determination in this case and dictate that venue is proper in Ingham County.

The law is express that actions brought by the state Attorney General are properly brought in Ingham County Circuit Court. MCL 14.102 states that:

> Any action at law brought by the attorney general in the name of the state or of the people of the state, for the use and benefit thereof, may be begun in the circuit court in and for the county of Ingham, and may be prosecuted to final judgment and satisfaction thereof, with like effect as though the cause of action arose in such county . . . .

In addition, MCL 600.1631(a) states that:

> The county in which the seat of state government is located is a proper county in which to commence and try the following actions: 7 (a) when the action is commenced by the attorney general in the name of the state or of the people of the state for the use and benefit thereof[.]

Together, these provisions ("the Attorney General venue statutes") establish that in cases brought by the Attorney General on behalf the State, venue in Ingham County is proper. The Court of Appeals erred holding otherwise.

#### A. The State preserved its arguments regarding the Attorney General venue statutes.

As a preliminary matter, the Court of Appeals held that the State failed to preserve its argument relating to the Attorney General venue statutes, MCL 600.1631(a) and MCL 14.102. (*NRK Rx, Inc et al*; __ Mich App at __; slip op at 7.)

As Justice Hood stated, this Court has yet to state definitively whether the plain-error or "raise-or-waive" standard is the appropriate standard for issue

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preservation in the civil context. (*NRK Rx, Inc et al*, __ Mich App at __; (Hood, J., dissenting); slip op at 3.) While the Court of Appeals concluded that appellate courts apply the "raise-or-waive" rule in the civil context, *Tolas Oil & Gas Exploration Co v Bach Servs & Mfg, LLC*, __ Mich App __ (2023), this Court "has yet to state definitively which standard is the appropriate standard for the civil context." *NRK RX, Inc*, slip op at *9. Under the raise-or-waive rule, a litigant must preserve an issue for appellate review by raising it in the trial court. *Admire v Auto–Owners Ins Co*, 494 Mich 10, 17, n 5 (2013).

Regardless of preservation, a Court may still "overlook preservation requirements if the failure to consider the issue would result in manifest injustice, if consideration is necessary for a proper determination of the case, or if the issue involves a question of law and the facts necessary for its resolution have been presented." *Tolas*, __ Mich App at __, slip op at 3 (quotation marks and citations omitted).

Here, it is true that the State did not rely on MCL 14.102 in the trial court. But the State did assert the other Attorney General venue statute, MCL 600.1631, in its complaint. (*NRK Rx, Inc et al*, __ Mich App at __; (Hood, J., dissenting); slip op at 3.)

Even if the MCL 14.102 argument was not preserved, the Court of Appeals nonetheless had discretion to review the argument because, as the dissent recognized, the Court of Appeals has the discretion to review a legal issue when it is briefed and all of the facts necessary for its resolution are present. (*NRK Rx, Inc et*

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*al*, __ Mich App at __; (Hood, J., dissenting); slip op at 3); *Tolas*, __ Mich App at __, slip op at 3; see, also, *Steward v Panek*, 251 Mich App 546, 554 (2002) ("[T]his Court may overlook preservation requirements where failure to consider the issue would result in manifest injustice, if consideration of the issue is necessary to a proper determination of the case, *or if the issue involves a question of law and the facts necessary for its resolution have been presented*.") (Citations omitted; emphasis added).

The Court of Appeals exercised this discretion in its opinion, when the majority proceeded to address the MCL 14.102 argument and rule on the issue. (*NRK Rx, Inc et al*, __ Mich App at __; slip op at 7–10.) Likewise, the dissent also exercised discretion in reviewing the MCL 14.102 argument. (*Id.* at __; (Hood, J., dissenting); slip op at 3.)

### B. Venue is proper in Ingham County when the Attorney General files a case on behalf of the State or a State agency.

MCL 14.102 provides that Ingham County is a proper county in "[a]ny action at law brought by the attorney general *in the name of the state or of the people of the state*." (Emphasis added.) Likewise, MCL 600.1631 provides that Ingham County is a proper county in which to bring an action "when the action is commenced by the attorney general *in the name of the state or of the people of the state*." (Emphasis added.)

In other words, when the Attorney General files suit on behalf of the State or any of its departments, then the Attorney General is filing suit in the name of the

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State or on behalf of the people. See *Dep't of Natural Resources v Wisconsin Electric Power Co*, unpublished opinion per curiam, July 20, 2023 (Docket No. 360932), p 13–14. This aligns with the Attorney General's unique role as officer of the state and authority to represent the state as chief legal counsel. See *Attorney General v Pub Serv Comm*, 243 Mich App 487, 504 (2000). Here, the Attorney General filed on behalf of the Michigan Department of Health and Human Services and therefore filed in the name of the State.

It is of no consequence that the Attorney General is not the named plaintiff. In dictum, the Court of Appeals noted that "there is a distinction between the Attorney General as the named plaintiff and a different state agency as the named plaintiff." (*NRK Rx, Inc et al*, __ Mich App at __; slip pp at 10, n 16.) The Court went on to posit "the possibility that MCL 14.102 and MCL 600.1631(a) contemplate only those cases in which the Attorney General is the named plaintiff." (*NRK Rx, Inc et al*, __ Mich App at __; slip op at 9.)

The court's dictum is contrary to the plain language of the Attorney General venue statutes, which do not require the Attorney General to be the named plaintiff. Rather, the statutes apply in actions "*in the name of the state or of the people of the state*." MCL 14.102; MCL 600.1631 (emphasis added). Thus, the Attorney General venue statutes apply where the Attorney General brings the action on behalf of the state, including its departments. The "state" encompasses its departments and agencies because agencies are units of the state and created by the

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constitution, statute, or by agency action. MCL 24.203(2); *League Gens Ins Co v Mich Catastrophic Claims Assn*, 435 Mich 338, 343 (1990).

## II. The tort venue provisions do not override the Attorney General venue statutes.

Throughout this litigation, the parties have disputed whether the tort venue provisions, MCL 600.1641 and MCL 600.1629 ("tort venue provisions"), override the Attorney General venue statutes. They do not, for two reasons. First, even though MCL 600.1641(2) mandates the application of MCL 600.1629, in turn, MCL 600.1629(1)(a) *does not* exclude the possibility that other venues may be proper as well (through its use of the indefinite article "a"). Second, the Attorney General statutes are more specific than the tort provisions and therefore the more general tort provisions do not override them.

But whether one overrides the other is ultimately inconsequential because it does not matter which is applied – Ingham County is proper under both.

### A. MCL 600.1629(1)(a) does not exclude the possibility that other venues may be proper as well.

To begin, the language of the tort venue provisions bear mention. MCL 600.1641(2) provides that where there are multiple causes of action brought, if one of the causes of action is based on tort or another legal theory seeking damages for personal injury, property damage, or wrongful death, then the standard tort—venue statute, § 1629, applies. MCL 600.1641(2) ("venue shall be determined under the rules applicable to actions in tort as provided in section 1629").

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MCL 600.1629 places proper venue in a number of locations, applied in a hierarchy:

> (1) Subject to subsection (2), in an action based on tort or another legal theory seeking damages for personal injury, property damage, or wrongful death, all of the following apply:
>
> > (a) The county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:
> >
> > > (i) The defendant resides, has a place of business, or conducts business in that county.
> >
> > > (ii) The corporate registered office of a defendant is located in that county.
> >
> > (b) If a county does not satisfy the criteria under subdivision (a), the county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:
> >
> > > (i) The plaintiff resides, has a place of business, or conducts business in that county.
> >
> > > (ii) The corporate registered office of a plaintiff is located in that county.
> >
> > (c) If a county does not satisfy the criteria under subdivision (a) or (b), a county in which both of the following apply is a county in which to file and try the action:
> >
> > > (i) The plaintiff resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.
> >
> > > (ii) The defendant resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.
> >
> > (d) If a county does not satisfy the criteria under subdivision (a), (b), or (c), a county that satisfies the criteria under section 1621 or 1627 is a county in which to file and try an action.

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It is true that MCL 600.1641(2), through its use of the word "shall," directs parties in tort suits to use MCL 600.1629 if there is an additional cause of action in the complaint. See *De Martinez v Lamagno*, 515 US 417, 434 n 9 ("legal writers sometimes use . . . 'shall' to mean 'will' "). But, as Justice Corrigan acknowledged, MCL 600.1641 is not a substantive venue provision, but merely tells parties where to go when determining venue. *Massey v Mandell*, 462 Mich 375, 388 (2000) (Corrigan, J., concurring). Thus, MCL 600.1641 acts as an "arrow" and not a "stop sign" when directing parties on venue.

Turning to MCL 600.1629, that provision states that the place where the original injury occurred is "a" county in which to file. MCL 600.1629(1)(a). In other words, "although MCL 600.1641(2) mandates the application of MCL 600.1629, MCL 600.1629(1)(a) does not exclude the possibility that other venues may be proper as well." (*NRK Rx, Inc et al*, __ Mich App __, __ (2024) (Hood, J., dissenting), slip op at 7.) This is in keeping with *Lorencz v Ford Motor Co*, 439 Mich 370, 377 (1992), which held that venue for a tort claim may be proper in multiple counties.

Thus, in using the indefinite article, "a," MCL 600.1629 contemplates that other venues may be proper and therefore it is not mandatory.

**B. The Attorney General venue provisions are more specific.**

The general tort venue provisions do not override the State's discretion to bring suit in Ingham County under MCL 600.1631 because the Attorney General venue statutes are more specific than the tort venue provisions. See *Evanston*

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*YMCA Camp v State Tax Comm*, 369 Mich 1, 8 (1962) (noting the statutory rule that the more specific governs over the general).

Courts should strive to read statutory provisions "together to produce a harmonious whole and to reconcile any inconsistencies whenever possible." *SMK, LLC v Dep't of Treasury*, 298 Mich App 302, 309 (2012). And it is well established that "if two statutes conflict, then the specific prevails as an exception to the general." *Bauer v Saginaw Co*, 332 Mich App 174, 199 (2020). Reading MCL 600.1641 together with MCL 600.1631, the latter describes a specific situation that would otherwise fall within the circumstances described by MCL 600.1641. If there is a conflict between the two statutes, the more specific provision should govern, and the State's choice of venue prevails. See *Evanston YMCA Camp*, 369 Mich at 8.

MCL 600.1629 may govern tort disputes generally, but in the more specific subset of tort cases that are filed specifically by the State, then the more specific MCL 600.1631 governs. Indeed, MCL 600.1629 applies broadly to litigants in tort cases–the bulk of which involve only private party litigants. And the more specific statute governs that narrow band of cases where the State brings forward a tort action as here under MCL 600.1631. This interpretation makes sense because otherwise, the rule would be that when the Attorney General brings a single claim which happens to be a tort, § 1631 controls, allowing the Attorney General to bring suit in Ingham County, but if any other counts are added, then § 1629 applies. That convoluted understanding is not supported by law or common sense.

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## III. Venue is proper in Ingham County applying the tort venue provisions because that is where the original injury occurred.

Even if the tort venue provisions are applied instead of the Attorney General venue statutes, Ingham County is still the proper county because that is where the original injury occurred. MCL 600.1641(2) and MCL 600.1629. Here, the lower courts erred by disregarding binding case law, which holds that, for purposes of venue, the location of the "original injury" occurs where the harm results to the plaintiff, not where the defendant engages in wrongdoing.

MCL 600.1629 places proper venue in a number of locations:

> (1) Subject to subsection (2), in an action based on tort or another legal theory seeking damages for personal injury, property damage, or wrongful death, all of the following apply:
>
> > (a) The county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:
> >
> > > (i) The defendant resides, has a place of business, or conducts business in that county.
> > >
> > > (ii) The corporate registered office of a defendant is located in that county.
> >
> > (b) If a county does not satisfy the criteria under subdivision (a), the county in which the original injury occurred and in which either of the following applies is a county in which to file and try the action:
> >
> > > (i) The plaintiff resides, has a place of business, or conducts business in that county.
> > >
> > > (ii) The corporate registered office of a plaintiff is located in that county.
> >
> > (c) If a county does not satisfy the criteria under subdivision (a) or (b), a county in which both of the following apply is a county in which to file and try the action:

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> (i) The plaintiff resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.
>
> (ii) The defendant resides, has a place of business, or conducts business in that county, or has its corporate registered office located in that county.
>
> (d) If a county does not satisfy the criteria under subdivision (a), (b), or (c), a county that satisfies the criteria under section 1621 or 1627 is a county in which to file and try an action.

As a preliminary matter, (1)(a)(i) and (1)(c)(ii) do not apply because they refer to *the defendant,* and Michigan courts have read these provisions to mean that the option does not apply when there are multiple defendants. *Massey v Mandell*, 462 Mich at 382. However, as discussed below, (1)(b)(i) and (1)(d) do apply based on the conclusion that, for the conversion of intangible, electronic funds, the place of the original injury is where the plaintiff is located at the time of the wrongful conduct, and thus, where venue lies.

### A. Venue is proper under (1)(b)(i) because Ingham County is where the original injury occurred.

If no county meets the criteria outlined in (1)(a), then venue is proper in the county in which the original injury occurred, so long as that county is also where the plaintiff resides, has a place of business, conducts business, or has a registered office. MCL 600.1629(1)(b)(i).

Michigan courts have defined "the original injury" as the place of the plaintiff's first tangible harm, as opposed to the defendant's breach of the standard of care. In this case, both the first intangible and tangible harms occurred in Ingham County, where the State suffered the loss of possession of its funds and

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then repaid the federal share back to the U.S. Government. That occurred where the Department of Health and Human Services is located: 333 S Grand Ave, Lansing, Michigan. Michigan Department of Health & Human Services.[3]

### 1. Caselaw distinguishes the original injury from the wrongful conduct and further narrows the definition to the first actual injury existing in fact.

The location of plaintiff's "original injury" is determinative in identifying a proper venue. MCL 600.1629; see also *Dimmitt & Owens Fin, Inc v Deloitte & Touche (ISC) LLC*, 481 Mich 618, 630 (2008) (plaintiff was located in Oakland County at the time of the injury and therefore venue was proper there).

This Court has defined "the original injury" as the first tangible harm to plaintiff that flows from defendant's wrongful conduct. *Dimmitt & Owens Fin, Inc*, 481 Mich at 630; see also *Gross v General Motors Corp*, 448 Mich 147, 161 (1995).

Because the injury is distinct from the wrongful conduct that caused the injury, Michigan courts apply a two-step process, first identifying the wrongful conduct and then identifying the first actual injury flowing therefrom. *Dimmitt & Owens Fin, Inc*, 481 Mich at 630.

In sum, caselaw differentiates the wrongful conduct from the resulting injury and further qualifies the word "injury" with the adjective, "actual," meaning existing in fact. Thus, only the location of the first tangible injury is relevant in determining venue.

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[3] *Contact Us*, <https://www.michigan.gov/mdhhs/contact–mdhhs> (accessed December 20, 2024).

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### 2. For intangible property, the first actual injury occurs where plaintiff is located.

In the context of intangible property, such as electronic funds, trade secrets, or domain names, courts have found that the injury occurs to the plaintiff where the plaintiff is located.

For example, in *LGT Enterprises, LLC, v Hoffman*, a ticket seller brought an action against its third-party online merchant for withdrawing and spending the ticket seller's funds that had accidentally been deposited into the merchant's account. 614 F Supp 2d 825 (ED Mich, 2009). The merchant was located in Nevada and the ticket seller was based in Michigan. *Id.* at 829. The question was whether a Michigan court had personal jurisdiction over the Nevada company and, in deciding the issue, the Court differentiated the wrongful conduct of withdrawing and spending the money (which occurred in Nevada, where the merchant was located) and the resulting harm (which occurred in Michigan, where the ticket seller was located). *Id.* at 832.

Another example is *Prescription Supply v Musa*, unpublished opinion of the United States District Court for the Eastern District of Michigan, issued February 27, 2017 (Docket No. 16–12070) p 4, in which a pharmaceutical wholesaler sued a pharmacy for stealing trade secrets when the pharmacy and two employees diverted customers and opportunities to their own company. In deciding the choice of law, the Court looked to the location of the injury and found that the wrongful conduct was stealing clients and trade secrets while the resulting injury (the loss of clients

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and trade secrets) occurred in Michigan, where plaintiff resided and maintained a principal place of business. *Id.*, p 5.

The Court reached the same conclusion in *Bagsby v Gehres*, a case involving the conversion of electronic funds by an attorney located in California, which occurred while the plaintiff resided in Missouri. In determining whether Michigan had personal jurisdiction over the defendant, the Court noted "[t]he only injury alleged is that suffered by [the plaintiff] in Missouri." *Bagsby v Gehres*, 195 F Supp 2d 957, 963 (ED Mich, 2002).

The Sixth Circuit Court of Appeals reached the same conclusion in a case alleging mental health damages as a result of plaintiffs' working environment in a Goodyear Tire plant, located in France. The Court found that the controversy centered in France, where plaintiffs worked and suffered injuries. In contrast, the Court noted that Goodyear's wrongful conduct, i.e., the decision making regarding the chemicals and safety equipment, occurred in Ohio, where Goodyear was located. *Solari v Goodyear Tire & Rubber Co*, 654 Fed Appx 763, 769 (CA 6, 2016).

Finally, in a case involving domain names, a federal district court in Texas confirmed that the conduct causing the injury is different than the place of the injury and the location of the injury occurred where plaintiff was located. *Emke v Compana LLC*, unpublished opinion of the United States District Court for the Northern District of Texas, issued September 25, 2007 (Docket No. 3:06-CV-1416-L), p 14.

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In sum, these cases show that when intangible property interests are involved, courts consistently find that the location of the plaintiff is where the injury occurs. This case law is persuasive, and the fact that there is no Michigan law reflecting this same principle further confirms the need for this Court's review.

### 3. In this case, the State was located in Ingham County at the time of the first actual injury and therefore Ingham County is where the original injury occurred.

Here, the wrongful conduct occurred when Defendants retained the funds after the State demanded their return. (Appellant's Appx, p 14.) Retention of the funds was wrongful at this point because Defendants' circuit court appeal did not include a motion to stay enforcement and no appeal bond was filed; therefore, the State was entitled to seek enforcement of the final agency decision. MCR 7.123(E). That was the time when the *wrong* occurred.

But the real question is the *location of the plaintiff* when it experienced the resulting harm. *Dimmitt & Owens Fin, Inc*, 481 Mich at 630. As explained above, for purposes of the State's conversion claim, there is no physical harm because the State's cause of action is for the conversion of electronic funds, not physical stacks of cash. Specifically, the first resulting injury to the State as a result of Defendants' wrongful possession was that the State was deprived possession of those funds. This was an intangible injury, personal to the State.

Because the elements of conversion do not contemplate a physical injury in this case, an additional analysis is needed to identify the resulting harm in fact resulting from the conversion. Here, both the trial court and Court of Appeals failed

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to identify the resulting harm in fact and instead found that the injury occurred when Defendants committed the wrongdoing and that occurred where Defendants were located. (Appellant's Appx, p 3.) (See also *NRK Rx, Inc et al*, __ Mich App __, __ ; slip op at 6) ("the original injury occurred in Oakland County, the county in which NRK has its corporate office and where it refused to return the funds to DHHS.") This contradicts Michigan caselaw, dictating that the place of the original injury is where Plaintiff is located. *Dimmitt & Owens Fin, Inc*, 481 Mich at 630.

The Court of Appeals seemed to acknowledge *Dimmitt*'s binding precedence, citing it multiple times when reconciling the Attorney General statutes with the tort venue provisions, but failing to address or even acknowledge *Dimmitt*'s definition of "original injury," (*NRK Rx, Inc et al*, __ Mich App at __; slip op at 4), which is the dead-on and precisely applicable holding.

Not only was that legally incorrect, but it establishes an unworkable rule that encourages wrongdoers to abuse the judicial process by cherry picking counties favorable to them. The result would be an inefficient use of the State's resources in what should be straightforward debt collection.

In sum, the "original injury" is the harm to the State where it lies, in Ingham County.

#### 4. *Ground Development* is unpersuasive.

Defendants argued below that the location of the wrongdoing controls, relying on old caselaw that has since been rejected. The majority opinion, too, incorrectly relied on this rejected caselaw. (*NRK Rx, Inc et al*, __ Mich App at __; slip op at p

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6.) Their argument that MCL 600.1629(d)(1) should not apply is equally unpersuasive given that there is only one original injury. The original injury, not the location of the wrongdoing, establishes the proper venue.

**a. The unpublished decision in *Ground Development* does not apply to intangible property and has been rejected by subsequent published authority.**

This Court should disregard *Ground Development, Inc v Doyle & Lang, LLC*, unpublished per curiam opinion of the Court of Appeals, issued November 1, 2005 (Docket No. 255202) (Appellant's Appx, p 177.) Not only is it a non-binding unpublished decision of the Court of Appeals, but the reasoning is inapt and was subsequently rejected in *Dimmitt & Owens Fin Inc.*[4]

To begin, *Ground Development* involved tangible property which can be demonstrably "possessed" by taking hold of it, unlike intangible property here. But even still, the Court's reasoning failed to distinguish the injury from the wrongful conduct. In *Dimmitt*, this Court defined "the original injury" as the first *actual harm*, i.e., existing in fact, to a plaintiff that flows from a defendant's wrongful conduct. *Dimmitt,* 481 Mich at 630. In the context of conversion, the first actual injury to the State occurred when the State was required to return the federal share of the overpayment back to the U.S. Government. That injury occurred in Ingham County.

[4] Inexplicably, the Court of Appeals disregarded *Dimmitt's* monumental and pertinent holding, a holding which further defined and clarified the meaning of "original injury" for purposes of determining venue.

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Thus, the lower courts were incorrect in relying on *Ground Development* wherein the Court of Appeals conflated the injury with the wrongdoing causing the injury. In contrast, under *Dimmitt*, this Court clarified that the definition of "original injury" is the first actual injury to State resulting from the wrongful conduct. Thus, the circuit court and Court of Appeals were incorrect when they applied *Ground Development* rather than *Dimmitt*.

In sum, *Ground Development* is not instructive in identifying the location of the injury for purposes of a conversion claim and the circuit court erred in accepting Defendants' argument that their location at the time of the conversion controls.

### B. Venue is also proper under § MCL 600.1627(1)(d), referring to MCL 600.1627, because Ingham County is where the cause of action arose.

Even if the Court finds that (1)(b) does not apply, there is no dispute that the (1)(d) does apply, and, under its terms, venue is proper in Ingham County.

Venue can exist in more than one forum. *Lorencz v Ford Motor Co*, 439 Mich 370, 377 (1992). MCL 600.1629(1)(d) provides that venue can be proper under either MCL 600.1621 *or* 600.1627. MCL 600.1629(1)(d).

Under MCL 600.1627, the county in which all or a part of the cause of action arose is a proper county. As discussed, the original injury and therefore the cause of action itself, as well as a part of the cause of action, arose in Ingham County, where the State was located at the time of injury. Therefore, venue is proper under MCL 600.1627 and any analysis of venue under MCL 600.1621 does not negate that venue is proper under the former.

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## IV. The Court should have deferred to the Plaintiff's choice of venue, placing the burden on Defendants to establish inconvenience under MCR 2.222(A).

Venue is proper in Ingham County under both the Attorney General venue and the tort venue provisions. Therefore, the burden shifted to Defendants to establish that, even though venue is proper in Ingham County, it is nevertheless more convenient in Oakland. MCR 2.222(A).

In their motion to change venue, Defendants argued that Wayne County was the more convenient county, never making any argument about Oakland County being more convenient. (Appellant's Appx, p 174.) In later briefings, they disregarded or forgot about making a convenience argument altogether, instead pointing to Oakland County as the *proper* county and never arguing why Oakland was more convenient. Thus, this Court should decline to consider if Oakland County is more convenient.

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## CONCLUSION AND RELIEF REQUESTED

This case should have never been transferred to Oakland County as it is neither proper nor more convenient. The Attorney General venue statutes provide that Ingham County is a proper county if the Attorney General chooses to file there. Even if the tort venue provisions were applied, Ingham County is still a proper county. Defendants never argued that Oakland County was more convenient and therefore venue should remain in Ingham.

The State asks that this Court grant its application and hold that Ingham County is a proper venue for the Attorney General to bring her claims under MCL 14.102 and MCL 600.1631. Alternatively, this Court should hold that Ingham County is the place of the original injury in a Medicaid conversion case because it is where the Plaintiff is located at the time of the first actual injury under MCL 600.1629.

Respectfully submitted,

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## WORD COUNT STATEMENT

This document complies with the type–volume limitation of Michigan Court Rules 7.305(A)(1) and 7.212(B) because, excluding the part of the document exempted, this application for leave to appeal contains no more than 16,000 words. This document contains 6,393 words.

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